

Metals Comment: Lithium: Zimbabwe's Concentrate Export Suspension Adds Limited Upside Risk to Near-Term Prices

- Zimbabwe has announced an immediate suspension of exports of lithium concentrates and other raw minerals until further notice to expand domestic processing capacity. This accelerates a stepwise tightening of Zimbabwe's lithium export policy, with the country banning exports of unprocessed lithium ore in Dec-2022, and later indicating it would restrict lithium concentrate exports from Jan-2027. China spot lithium carbonate prices were up 7% to \$22,182/t on the news, while GFEX¹ hit a limit up (+12%) before closing up 3% on the day at RMB177,120/t (\$22,842/t ex-VAT), with the retracing likely due to speculation around potential export license exemptions.
- In our view, this restriction aims to accelerate downstream commitments and tighten control of the export channel, rather than a permanent attempt to stop all lithium exports. The official statement combines a blanket suspension with a path to resume exports under stricter rules: only mining companies with approved processing plants can export, with tighter documentation and verification.
- Zimbabwe is the fourth-largest lithium producer globally, accounting for 9% of global supply (143kt LCE) and the second-largest exporter of spodumene concentrate to China in 2025 (15% of total China imports, [Exhibit 1](#)). However, Zimbabwe's lithium supply chain remains primarily concentrate exports, with in-country conversion capacity limited to one operational lithium sulphate plant (50-60kt/y) and other projects announced but not yet operational, meaning that the approved processing plant requirement materially narrows export eligibility in the near term ([Exhibit 2](#)).
- Against this backdrop, we see two scenarios:
 - Our base case of a 1-month disruption, where concentrate exports are constrained while the government implements the new permitting framework, with limited net supply impact as operators resume and catch up on lost volumes once licenses are approved, consistent with [producer feedback](#) suggesting export license approvals will be completed within two weeks to one month. For now, we maintain our \$10,250/\$9,250/t 2026/2027 lithium carbonate price [forecast](#), but we flag upside risk to our

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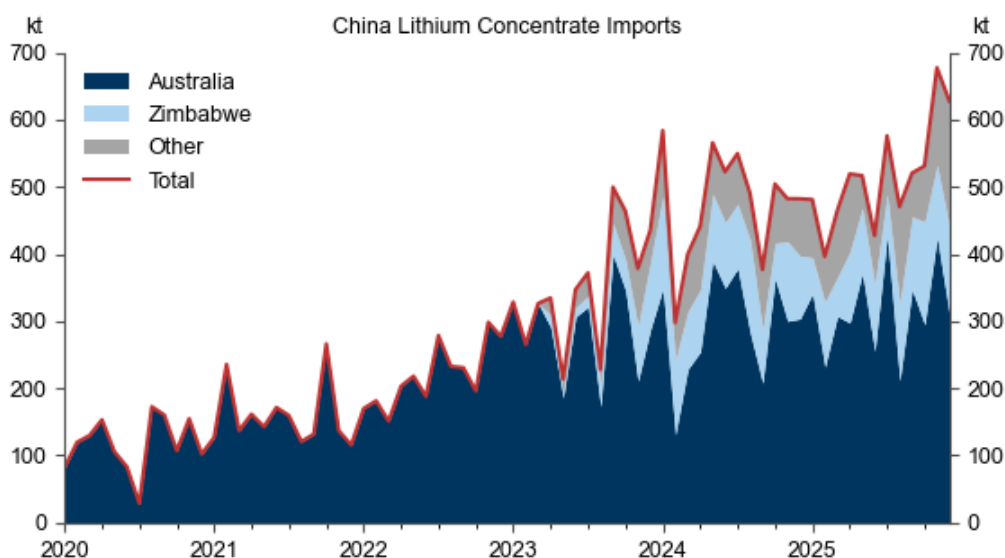
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¹ China has two lithium carbonate price references: the China physical spot price, a daily benchmark assessed by SMM reflecting physical offtake transactions; and the GFEX (Guangzhou Futures Exchange) price, the exchange-traded futures price launched in 2023. Our forecast refers to the China physical spot price.

2026 forecast given tight 1H26 market conditions compounded by ongoing uncertainty around CATL lepidolite restart delays.

- Upside risk scenario of more prolonged disruption, where export license approvals face significant delays and concentrate exports remain severely curtailed. Under this scenario, our China equities team estimates Zimbabwe supply could fall to a minimum of 101kt LCE, implying an 11kt deficit on our balance (including upgraded Zimbabwe production estimates) and a fundamental price uplift of 5% on our inventory cover framework² (roughly +\$500/t on our \$10,250/t average 2026 forecast). However, spot prices have already run well ahead of this scenario level, mainly driven by speculation around CATL lepidolite restart delays, flagged as an upside risk in our November update, suggesting a significant speculative premium in current spot price.
- We see this as consistent with the broader commodity control cycle theme: resource-holders are using policy tools (export restrictions, beneficiation requirements, licensing) to capture more downstream value and increase control over critical mineral supply chains.

Exhibit 1: Zimbabwe is the Second Largest Exporter of Spodumene Concentrate to China, Accounting for 15% of Total China Imports



Source: SMM, Goldman Sachs Global Investment Research

² We assume a ~1.5% increase per day of global inventory cover removed, based on our inventory-cover framework.

Exhibit 2: Zimbabwe Lithium Supply Remains Concentrate-Led, with Limited Operating Sulphate Capacity Today

Zimbabwe Operational Lithium Assets (Unit: kt)					
Operator	Asset	2025	2026	Capacity	In-country processing plant (key for export permits)
Huayou Cobalt	Arcadia	45	85	120	Yes, sulphate plant with 50–60 kt/y capacity, exports to start in February 2026
Sinomine Resources	Bikita	50	65	100	Not operational currently, but plans to complete 20kt tonnes sulphate plant construction in 2026
Yahua Industrials	Kamativi	25	38	38	No, announced on February 26, 2025 that lithium sulfate project construction has commenced
Chengxin Lithium	Sabi Star	23	25	25	No
Total		143	213	283	

Source: SMM, Goldman Sachs Global Investment Research

Disclosure Appendix

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